

MLCC sector deep dive

7 makers · cycle score 18.5 (upcycle intact) · 2 Oct 2026

MLCC sector deep dive: where the cycle is, who supplies what, and what to own

Written for: you, as the portfolio decision-maker · As of: 2 Oct 2026

Peer set	Murata (6981.T), Samsung Electro-Mechanics (009150.KS), Taiyo Yuden (6976.T), TDK (6762.T), Yageo (2327.TW), Kyocera (6971.T), Walsin Technology (2492.TW). Chinese makers Fenghua (000636.SZ) and Three-Circle (300408.SZ) are added as supply-side context.
Sources	Company fact books and results; TrendForce; passive-components.eu; Taiwan monthly revenue; Yahoo prices; stockanalysis.com consensus. Your G: drive sell-side folder is not yet ingested.
Conventions	Local currency. Japanese FY ends March (FY3/27 = Apr-2026 to Mar-2027); Korea and Taiwan report calendar years. Prices are the 2 Oct 2026 close.
Live page	MLCC Cycle Watch (artifact)
Tags	[F] company document or exchange data · [A] attributed, not independently verified · [E] our estimate

§0 Verdict

- **Cycle.** Mid upcycle in fundamentals, with a late-cycle wobble in the stocks. The MLCC Cycle Watch score is **18.5 / 100** (upcycle intact): 7 signals green, 5 amber, none red.
- **History.** Buying the equal-weight basket 35% below a cycle peak was **positive over 24 months in 6 of 6 cycles** (median +44%). It was a coin toss over 12 months (median +6%; worst -42% in 2007). Today the basket is 36% below its June high.
- **Where to be long.** The cycle levers that fell hardest:
 - Walsin: 21.7x forward, revenue +45% YoY.
 - Taiyo Yuden: book-to-bill 1.72, -55% from its high.
- **Where to wait.** Murata: the best franchise, but 31x EV / 5-yr-mean EBITDA against an 11.6x own median. House PW value is ¥4,140 vs ¥8,467. Stage in at ¥6,200 / ¥5,000 / ¥4,100.
- **Where to avoid.** SEMCO at ~65x cycle-mean EBITDA, with capex doubling into 2027. It is the short candidate when SC01 or SC04 turns red.

Weighted scorecard (1-5; weights in brackets):

Criterion	Weight	Murata	SEMCO	Taiyo Yuden	Yageo	Walsin	TDK	Kyocera
MLCC purity	15%	4	3	5	3	4	1	1
AI-server position	15%	5	5	1	1	1	1	1
Order momentum	15%	5	4	5	5	4	3	2
Pricing power	10%	3	5	4	5	3	2	2
Balance sheet	10%	5	4	2	2	2	4	4
Bust resilience (history)	10%	5	4	1	2	1	3	4
Valuation vs cycle	15%	1	1	3	2	4	4	4
Upside to 1Q27 price leg	10%	4	2	4	3	4	1	1
Weighted	100%	3.95	3.45	3.20	2.85	2.95	2.35	2.30

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The scorecard ranks the businesses: Murata leads. The shortlist ranks the trades, where price decides: Walsin and Taiyo Yuden first, Murata on a staged entry.

§1 Sector map and value chain

- **Upstream:**

- **Barium-titanate powder:** Murata and Samsung in-house; Sakai Chemical ~25-28%, Fuji Titanium [A].

- Nickel and copper paste; furnaces and printers.

- **Makers:** the seven listed names plus Chinese entrants.

- **Downstream:**

- Distributors (about a third of volume, and where double-ordering builds).

- AI-server ODMs, handset OEMs, and auto Tier-1s.

- **Chokepoint:** high-cap, small-case parts for GPU power. Murata and SEMCO hold 80-85% [A].

- **Proposed additions:** Fenghua and Three-Circle as supply-risk names, plus Samwha (Korea) if data is found. We would not hold them; we track them as the capacity response (SC12).

§2 Market size, units and growth

- **Value:**

- Mordor puts the market at \$27.3bn (2025) and \$31.9bn (2026), with a 15% CAGR to 2031.

- Other vendors put 2024 at \$14.5-23.9bn. The definitions differ, and trackers disagree by more than 10% [A].

- **Units:** about 3.5-4 trillion a year (weak sourcing) [A].

- **Content per device:** smartphone ~1,100; ICE car ~3,000; electric car 10,000-18,000; 8-GPU AI server 15,000-25,000; GB200 NVL72 rack ~440,000 [A].

- **AI-server MLCC demand:** ~30% CAGR to 2030 (Murata) [A].

- **Share by value:** Murata ~40, SEMCO ~18, TDK ~12, Taiyo Yuden ~10, Yageo ~10, Kyocera AVX ~5 [A].

§3 Macro and cycle

The three variables that drive the sector:

1. **Hyperscaler capex.** Over \$700bn in 2026, raised through the year. It leads MLCC orders by 1-3 quarters.

2. **Consumer electronics units.** About half of MLCC units; demand is "subdued".

3. **Channel inventory**, which is where every bust starts: - Dec-2018: 6-7 months in distribution. - Today: under 30 days per TrendForce, but 2-6 months by Yageo's channel definitions.

Murata capacitor book-to-bill is the single best cycle gauge:

Period	Reading
FY2019 Q1 (2019 trough)	0.80
2021 peak	1.32
FY2022 Q3 (2022 trough)	0.79
Apr-Jun 2026 (MLCC)	1.47

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Each time, the ratio fell below 1 two quarters before the order trough [F].

Equity cycles (equal-weight basket):

Peak	Trough	Depth
2000	2003	-64%
2004	2005	-42%
2007	2008	-66%
2010	2011	-46%
2018	2019	-46%
2021	2022	-45%

The 2026 run was 8x in two years, versus 4.7x into the 2018 peak.

- **What confirms the turn:**
- Murata capacitor book-to-bill below 1.10.
- Yageo or Walsin monthly revenue down 3 months in a row.
- Lead times shortening in two bulletins.
- A hyperscaler cutting its 2027 capex.
- **What extends the cycle:** the Japanese makers joining the price hikes for 1Q27.

§4 Competitive landscape

- **AI leaders:** Murata and SEMCO. Taiyo Yuden, TDK, Yageo and Kyocera each have under 5% of AI-server share.
- **Cycle levers:** Taiyo Yuden (69% capacitors), Yageo and Walsin (~45%). They have the highest beta to MLCC price and the deepest busts (-68% to -89%).
- **Diversified:** TDK (batteries are 55% of sales) and Kyocera (packaging, KDDI stake).
- **Who is winning at whose expense:**
- SEMCO has closed to within ~5 points of Murata in AI servers.
- Yageo leads on price.
- Chinese makers take commodity share and are moving into high-cap parts (SC12).
- The TDK-Taiyo Yuden alliance (29 Sep 2026) could create a #3 in high-cap parts.

§5 Peer financials

	Murata	SEMCO	Taiyo Yuden	TDK	Yageo	Kyocera	Walsin
Revenue, latest FY (mn)	¥1,830,856	₩11,314,459	¥355,341	¥2,504,820	NT\$132,930	¥2,070,203	NT\$36,463
Operating margin	15.4%	8.1%	5.6%	10.9%	22.4%	4.6%	5.8%
Net cash (vendor)	¥502bn	₩241bn	-¥50bn	¥106bn	-NT\$47bn	¥97bn	-NT\$13bn

Murata has 15 years of fact-book history (EBITDA margin 18-32%; trough 23.9% in FY3/24). The peers have 4 years only (gap). Walsin's 5.8% operating margin from Yahoo looks low for a passives maker

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and should be checked against filings.

§6 Quality screens

Not run with the full six-pattern forensics on every name in this pass. Flags so far:

- Murata buys back ¥150bn at about 2x house value.
- SEMCO and Yageo: net cash differs between vendors.
- Taiyo Yuden and Walsin carry net debt into a capex cycle.
- Kyocera's consensus target sits below its price.

Next step: ~~financial-forensics~~ and ~~management-assessment~~ on Murata, SEMCO and Taiyo Yuden.

§7 Valuation

The house method is EV / cycle-mean EBITDA. Murata uses 5 fact-book years and its own 10-year band (10.4 / 11.6 / 13.5x). The peers use 4 years and Murata's band as a sector proxy.

Name	EV / mean EBITDA	Value at median band vs price	Fwd P/E	Consensus TP vs price
TDK	13.6x	price 17% above	22.8x	+30%
Kyocera	15.3x	31% above	28.9x	-2%
Walsin	20.2x	84% above	21.7x	n/a
Taiyo Yuden	22.1x	97% above	36.4x	+42%
Murata	32.0x	2.6x	37.8x	+23%
Yageo	33.7x	3.1x	24.4x	+61%
SEMCO	64.7x	5.5x	47.6x	+52%

What the price assumes. Every MLCC name except TDK and Kyocera is priced above its cycle-average value. The market is paying for a new regime, with AI-server MLCCs as a contracted, higher-trough business. Murata needs ~21x 5-yr-mean EBITDA by Mar-2030 to return 0%.

§8 Consensus vs variant perception

- **Street.** Buy on almost everything. Murata: 17 of 18 analysts Buy, target ¥10,414. SEMCO target ₩2.41m. Yageo targets NT\$1,280-1,465 [A]. The thesis is pricing, AI content and utilization at the ceiling, valued at 25-45x 2027 earnings.
- **Variant view.** The fundamentals are better than the stocks imply; book-to-bill at a record, and no Japanese price hike yet. But the valuations are worse than the street admits once you use cycle-average earnings.
- **What would prove it.** The 30 Oct Murata call. A third guide raise with no price hike supports the "cycle not yet priced" half; a weaker book-to-bill supports the "multiples too high" half.
- **Sell-side detail** from your folder is pending. It will be paraphrased with broker, analyst and date.

§9 Ranked shortlist and scenarios

1. **Walsin.** Long tactical. Exit on 3 straight MoM revenue declines.
2. **Taiyo Yuden.** Long tactical, small size. Stop if capacitor book-to-bill falls below 1.1.
3. **Murata.** WATCH, using the house model scenarios:

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	Bear	Base	Bull	PW
PV per share	¥2,937	¥4,094	¥5,435	¥4,140
IRR to Mar-2030	-20%	-12%	-5%	-12%

Entry for a 20% IRR is ¥2,844. 4. **Yageo**. WATCH until the 27 Oct inventory read. 5. **SEMCO**. PASS; short candidate. 6. **TDK and Kyocera**. Out of scope.

Catalysts: - Sep monthly revenue (~8-9 Oct). - Yageo 3Q (27 Oct). - SEMCO and Murata (~29-30 Oct). - Japanese 1Q27 price decisions (Nov-Dec).

Sector-level way to be wrong. The whole cohort re-rates as "AI picks and shovels", as memory did in 2025-26, and the cycle-average band stops mattering for two to three years. If that happens, the laggard trade still works, and the Murata wait costs the upside.

Appendix

Working files. The `MLCC_working_files.zip` bundle contains: - `research/` memos 01-06 plus per-company files. - `data/clean/*.csv`. - `murata/` model, deep-dive, pitch deck and one-pager. - `peers/` model and one-pagers. - The competitive deck and the dashboard HTML. - `build/` scripts.

Method notes. - The basket is an equal-weight, monthly-rebalanced index of Murata, SEMCO, Taiyo Yuden, Yageo and Walsin, in local currency. - Peaks come from a 25-month centred window. - The band uses unadjusted-for-dividend closes, shares ex-treasury, and the net cash of the latest reported FY.

Known gaps: - Sell-side not ingested. - Primary capacity numbers do not exist. - Paumanok and TrendForce price tables are paywalled. - Peer history is 4 years. - Murata's MLCC price letter is unconfirmed. - Walsin and Yageo segment splits are missing.

Not investment advice.

